The Officious Bystander Test

English contract law | Study guide | Implication in fact and the limits of obviousness

Imagine someone interrupting negotiations to propose the exact clause now in dispute. Would both parties, viewed objectively at the time, have treated it as already understood? That is the point of MacKinnon LJ's example in *Shirlaw*.

1. Interpret the express contract first

Read the words in their contractual setting. The proposed obligation may already follow from the express terms. If a gap remains, identify what the term would add and check how the agreement already allocates the relevant risk.

This is a test for implication in fact. Terms arising by statute, custom or the nature of a class of contract have their own requirements.

2. Formulate the bystander's question precisely

Put one concrete term to both parties. Say who must do what, when and subject to which limits. A vague proposal such as 'the parties will cooperate' leaves too much open if the dispute is really about access, timing or cost. The imagined bystander helps test the clause. The decisive question is whether both parties would have answered "Of course!"

3. Assess obviousness at formation

Consider reasonable people in the parties' positions, using the agreement and the background available when they contracted. Both parties must objectively have taken the proposed term for granted. One party's later assertion that it expected the term carries little by itself. A plausible negotiation about its scope counts against obviousness.

4. Keep the threshold high

Under *Marks and Spencer v BNP Paribas*, business efficacy and obviousness are alternative routes, although they often point to the same answer. Ask either whether the contract needs the term to work commercially or practically, or whether the term goes without saying. A term must be capable of clear expression and consistent with the express terms. Fairness or convenience alone is insufficient.

> Legal English | **Officious** describes someone who intervenes unasked. **It goes without saying** means that a point is understood without needing to be stated.

Four Decisions and What They Show

Shirlaw v Southern Foundries | A fixed appointment

Shirlaw was appointed managing director for ten years. Following a change to the company's articles, he was removed as a director and could no longer continue as managing director. The Court of Appeal upheld the implication of a term protecting the agreed appointment from being brought to an end in that way. MacKinnon LJ asked how both parties would have responded to the proposed term at the time of contracting.

The Moorcock | The practical operation of the bargain

A vessel using a jetty was damaged when it settled on the riverbed at low tide. The Court of Appeal implied an obligation to take reasonable care to ascertain whether the berth was safe and to warn of danger where appropriate. The duty supported the agreed use of the berth. Its scope fell short of an absolute guarantee of safety.

Marks and Spencer v BNP Paribas | A detailed lease

A commercial tenant paid rent in advance and exercised a break clause. It sought a refund for the period after the lease ended. The Supreme Court declined to imply a refund term. The detailed bargain worked without it. The apparent fairness of a refund did not establish necessity or obviousness.

Barton v Morris | A negotiated condition

An introducer was to receive a fee if a property sold at an agreed price threshold. It sold for less. The Supreme Court majority declined to imply a term for reasonable payment in those circumstances. The proposed term had to be tested against the express allocation of risk.

> Case reading | Compare the narrow obligation in *The Moorcock* with the proposed refund in *Marks and Spencer*. Ask what the contract would require without the proposed term.

Worked Problem and Authorities

Access for the commissioning test

A factory hires an engineer to test installed sensors during a fixed two-day shutdown. The signed schedule identifies the tests and the engineer's fee. Both sides know the factory alone can issue the temporary login required to run the tests, and no alternative access is available. The engineer requests it in good time. The factory refuses, pointing to the contract's silence on logins. What term, if any, could be implied?

Model analysis

Propose a narrow term. On timely request, the factory must provide the temporary access reasonably needed for the agreed tests during the shutdown. This leaves the factory's ordinary security controls in place.

Ask both parties at formation. The agreed tests and fixed window strongly support the conclusion that access would have been taken for granted. Without access the engineer cannot perform the scheduled work, which also supports business efficacy. The wording of the contract still matters. A wider right to permanent access or unrelated data would require its own justification.

Check the express terms. Look for security conditions, access procedures or a clause allocating the risk of refusal. Then assess breach by comparing the request and the factory's response with the precise duty.

> Variation | The signed contract expressly allows the factory to refuse logins and provides for on-site supervised testing instead. A duty to issue a login would conflict with the express bargain.

Selected authorities

Shirlaw v Southern Foundries (1926) Ltd [1939] 2 KB 206, 227 | MacKinnon LJ's test

The Moorcock (1889) 14 PD 64 | Extract quoted at para 22

Marks and Spencer plc v BNP Paribas [2015] UKSC 72, paras 14–31 | The modern test

Barton v Morris [2023] UKSC 3, paras 19–37 | Express allocation of risk